

The Complete Financial Guide for Young Couples

amount of money to invest, say \$1,000, and you want to buy some stock with it. If you put your \$1,000 into one company's stock, then all of your money rests on how that one company does. There is an alternative; it's called a mutual fund. In a mutual fund your money is pooled with many others' and invested in a variety of different companies. Therefore, you achieve diversification merely by selecting a mutual fund as opposed to just one company.

I would also suggest splitting your money into different areas of the economy. For example, one part might be in real estate, some in gold and silver, a percentage in stocks and bonds, and the remainder in CDs. This helps to buffer you from cyclical ups and downs.

For instance, if the price of stock goes up and you have all of your money in the stock market, you'll do great. But if you hit a downturn in the stock market and you needed to cash out, the result would be a significant loss. However, if you have only a portion of your money in the stock market, another portion in the bond market, some in real estate, some in gold and silver, and so on, the probability is that when one of these areas is down, another will be up. So rather than having to sell the one that's down, you could sell one that's up.

A good adage to remember was one that Bernard Baruch used very wisely. "When everybody else is selling, it's time to buy, and when everybody else is buying, it's time to sell." What you should strive to do is buck the trends rather than be forced to go with them.

Let me use another example. Assume you had \$10,000 to invest. You might split the money, with \$5,000 going into stocks and \$5,000 going into bonds. Assume the stocks are inflating because the economy is growing rapidly. Normally the bonds would be devalued as the economy expands. You wouldn't want to sell the bonds. So if you needed cash, you'd sell some stock. But if the economy reversed and interest rates went down rather than up, the stock could drop and the bonds improve in value. Obviously, it's not always as ideal as my example implies, because sometimes both stocks and